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GNIOT Institute of Management Studies – PGDM (Batch 2021-23)

(TRIMESTER – III) END TERM EXAMINATION, APRIL 2022

Corporate Finance

[Time: 2Hours]

[Maximum Marks: 100]

INSTRUCTIONS:

- (i) There are THREE sections in this question paper.**
- (ii) Attempt questions from each section as per the directions.**
- (iii) Make suitable assumptions wherever necessary.**

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Attempt all parts of the following:

(10×3=30)

- (a) “Retained Earnings do not involve any cost.” Explain**
- (b) Define financial planning.**
- (c) What is meant by capital structure?**
- (d) Explain Time Value of Money.**
- (e) Explain the Net Present Value method.**
- (f) Write a note on capital expenditure.**
- (g) Define the term ‘Annuity’**
- (h) What is the cost of preference share capital?**
- (i) Explain Profit Maximisation approach.**
- (j) Explain the main features of Pay- Back Period method.**
- (k) Explain the scope of Corporate Finance.**

SECTION-B

(Long Answer Type Questions, do not exceed 400 words)

Attempt all questions of the following:

(4×10=40)

Q.2. (a) Define ‘Cost of Capital’. How will you determine the cost of capital from different sources?

OR

(b) Equity Capital has also a Cost’. Explaining it discuss the method of measuring the cost of equity capital.

Q.3. (a) What do you mean by over- capitalisation? Discuss the consequences of over- capitalisation and suggest some remedy to overcome them.

OR

(b) ‘Under- capitalisation leads to over capitalisation.’ Do you agree? Give reasons.

Q.4. (a) What is capitalisation? Is it different from capital structure? Discuss the theories of capitalisation.

OR

(b) Define optimum capital structure? When should it be called optimum?

Q.5. (a) What is Corporate Finance? Explain the important principles of Corporate Finance.

OR

(b) Differentiate between Merger and Acquisition. Explain the various types of Mergers.

SECTION-C

Q.6. Attempt all parts of the following (Do not exceed 500 words)

(2×15=30)

(1) Caselet I: Comment upon the capitalisation of the following companies:

	X LTD	Y Ltd
	(Rs.)	(Rs.)
Share Capital (Rs. 100)	2,00,000	3,00,000
Reserves & Surplus	50,000	40,000
Current Liabilities	50,000	60,000
Total Liabilities	3,00,000	4,00,000
Sundry Assets	3,00,000	4,00,000
Average Profit	25,000	51,000
Normal Rate	5%	16%

(2) Caselet II: J & L Chemical is a profitable chemical manufacturing firm. The business, however is highly cyclical, and the profits of the firm have been volatile. The management of the firm is considering acquiring a food processing firm to reduce the earnings volatility and their exposure to economic cycles. They have hired you as a Financial Consultant and asked for your advice on the following areas:

- Would such an action be in the best interests of their stockholders? Explain
- Would your analysis be any different if they were a private firm? Explain
- Is there any condition under which you would argue for such an acquisition for a publicly traded firm?